Aditya Birla Finance Limited (ABFL)

Product Program

Professional Loans

Policy Name	Professional Loans Policy
Current Policy Version	V.5
Previous Policy Version	V.4
Validity Date	07-10-24
Next Review Date	07-10-25

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Professional Loan

Parameters	Program Norms
Profile	Only individuals - Self Employed + Consulting Doctors
Minimum Loan Amount	2 Lacs
Tenor	12-60 months
Age	**Minimum** - 25 years **Maximum** - 72 years at loan maturity [Co-applicant required for Age + Tenor>65 years]
Co-applicant	Not mandatorily required
Bureau Norms	• Cibil Score >=700 (NTC Not Allowed) • No 30 DPD in Last 12 months on Term loans • No 60+ DPD in last 12 months on Credit card • No DPD in last 6 months on Term loans • Write Off amount >1000 in last 2 years not allowed for Term loan • Write off amount of more than 10000 in last 2 years is not allowed for Credit card • Max Credit card overdue of 10000 and term loan overdue of 2000 reported in last six months. • Chronic DPD (Recurring DPD Observed on the bureau in last 2 years) segment to be approved at RCM/ACM level for MBBS and above and for BAMS/BHMS/BDS/MDS approval is at NCM Level • BAMS / BHMS - Cibil Score >=730 and experience >= 2 years • MDS / BDS - Cibil Score >=730 and experience >=3 years • Dentist or MDS and Cibil score between 730 and 774 for delinquent location is not allowed. • Not more than 5 unsecured enquiries in last two months
	Additional Cibil matches to be checked • Credit should check demogs as reflecting in CIBIL report with provided KYC & Degree documents, if any difference is observed, additional CIBIL should be drawn • Cibil Mobile, Cibil DOB, & CIBIL PAN check to be done mandatorily in each case
Count of Live Loans	• For DM, MCH, MS, MD, DNB, Diploma – Not applicable • For BAMS, BHMS, BDS, MDS - Maximum 3 live unsecured loans (PL, BL, Loan to Professional) allowed including proposed loan. • For MBBS – i) Maximum 4 unsecured loans allowed including proposed loan ii) If Count of active unsecured loans is >4 (including proposed loan), and sum of current outstanding is less than 65% of sum of sanction amount of active unsecured loans (POS/Sanction ratio less than 65%), then it can be allowed. If POS/Sanction amount is more than 65%, it cannot be allowed. • For Existing customers, all unsecured ABFL loans will be considered in above loan count calculation. Loans with sanction amount or current outstanding less than 50000 to be ignored.
Qualification	**Below type of degree are allowed to process**: - Super Specialist I & II - Postgraduate I - Postgraduate II and Specialized Diploma - Other PG Diploma - MBBS - Ayurveda / Homeopathy - allowed for Cibil score >=730 and Experience >=2 years - MDS / Dentist - Allowed for Cibil score >=730 and Experience >=3 years

	Note: - Diploma to be minimum 2 years course - Distance education courses not be considered - GAMS / DHMS degree not allowed **Below profiles are not allowed:** • Unani and Siddha Doctors • Alternative Medicine Doctors • Electropathy and Electro Homeopathy Doctors • Naturopathy and Naturopathic doctors • Degrees from outside India can be allowed if it is registered on MCI.

<table>
<tr><td>Experience (Years)</td><td>Minimum experience norms calculation to be as follows:

<table>
<tr><th>Degree Type</th><th>Min Experience</th></tr>
<tr><td>Super Specialist I & II, Post Graduate I & II, Specialized Diploma, Other PG Diploma</td><td>At least MBBS degree to be registered with medical council, and experience to be calculated from MBBS registration date</td></tr>
<tr><td>MBBS</td><td>Immediately after registration with Medical Council</td></tr>
<tr><td>Ayurveda / Homeopathy</td><td>From medical registration date</td></tr>
<tr><td>MDS / Dentist</td><td>From medical registration date</td></tr>
</table></td></tr>
<tr><td>Online Degree Validation</td><td>Online validation is mandatory from:
• National Medical Commission (NMC) OR
• State Medical Council Websites OR
• Gazettes
• QR code to be scanned if the same is available on the registration/degree document
• Existing Ayurveda / Homeopathy customer running Live DL/Professional Loan and degree not getting verified, allowed for sourcing

Note:
• Name, Father Name (if available), DOB (if available) in online check need to validate same with provided KYC & Degree document
• Degree/Registration check result to be attached mandatorily in LENTRA</td></tr>
<tr><td>Online Degree Validation (Post Graduate / Post Graduate Diploma / Super Specialist)</td><td>Name on higher degree certificate to be matched with name on MBBS degree, Application form and KYC to prove it belongs to the same person

<u>MBBS is not validated online from NMC / State Medical Council Website</u>
a) In case of higher degree, if MBBS is also not getting validated online, then such cases are not allowed to process

<u>Higher Degree being provisional degrees:</u>
a) Provisional degrees issue date greater than 6 months to be considered for higher degree eligibility calculation.
b) If provisional degree issue date is less than 6 months & it is getting verified online through college / university / medico website, then to be considered for higher degree eligibility calculation
c) If provisional degree issue date is less than 6 months & it is not getting verified online through college / university / medico website, then case to be processed as MBBS only

<u>Higher degree being Marksheet copy:</u>

Higher degree to be considered basis Marksheet if below norms complied
a) Marksheet mandatorily required to be of Final year &
b) Marksheet required to be verified mandatorily at College / University website
c) Case to process with NCM Approval
d) If marksheet is not of final year or marksheet not getting verified online, same cannot be consider for higher degree</td></tr>
<tr><td>Dedupe check</td><td>Dedupe check to be done for Bad / Reject / Fraud matches

In case of dedupe match found, existing customer details i.e., PAN, Name, DOB, Father name, Qualification, etc. to be cross checked with provided KYC & Degree document</td></tr>
</table>

<table>
<tr><td>Written off and Settled Status – Restructured due to COVID 19</td><td>Specific guidelines / credit check to be done due to changes in CIBIL reporting to RBI mandate for COVID restructuring</td></tr>
<tr><td>On US Derog - write off/settlement/restructure in ABFL existing loan track</td><td>
<table>
<tr><th>On US Derog Parameters</th><th>Policy Norms</th></tr>
<tr><td>Write-off</td><td>ABFL ever written off in any product is allowed with below condition
- If written off amount <=100 - Allowed without deviation
- If written off amount >100 or <=1000 - Allowed with NCM deviation
- If written off amount >1000 or <=9000 and w/off done before 24 month - Allowed with NCM deviation</td></tr>
<tr><td>Settlement</td><td>Ever Settlement in any product not allowed</td></tr>
<tr><td>Restructured</td><td>Ever restructured in any product not allowed</td></tr>
</table>
</td></tr>
<tr><td>PAN Check</td><td>PAN needs to be validated mandatory through below:
1. NSDL PAN Check
2. CIBIL PAN check
All 2 checks are mandatory

NSDL PAN check result to be checked for each case in Lentra in Loan dashboard
• PAN should be existing and valid &
• Name and DOB should match with name on Degree and Application
If there is complete mismatch in Name fetched from NSDL compared to Name in application then case is not allowed to be processed

Note:
a. Underwriter to check PAN NSDL last modified date in loan dashboard & RCU to initiate to retrieve PAN with photo if last modified date is <=6 months

Underwriter to initiate ‘PAN Verification’ suspect reason to mention as “PAN NSDL modified date <=6 months, initiate PAN with photo verification”</td></tr>
<tr><td>DOB validation</td><td>DOB validation is mandatory and to be done
1. Application input should match with PAN DOB
2. If DOB is available on registration/degree document then same should match with LENTRA input DOB
3. Cibil DOB should match with LENTRA input DOB
4. Cases where DOB on degree is not matching with PAN DOB should not be allowed.
5. IF DOB on PAN is Matching with DOB on Degree, but CIBIL has different DOB, Additional CIBIL to be pulled.</td></tr>
<tr><td>Norms for Existing DL / PRO customers</td><td><u>Existing DL / Professional loan customer norms:</u>
• Existing DL / Professional Loan customer meeting current policy norms can be evaluated in this program.</td></tr>
<tr><td>PD Norms</td><td>Tele PD to be done by credit for all cases. Resi FI to be done for BAMS, BHMS and BDS cases.

Customer Visit /Geo tagging of work place is mandatory either by sales or credit for all fresh cases. Information and photographs of geo tagging to be filled in prescribed format and uploaded in Lentra</td></tr>
</table>

Ownership/ Stability Norms	Not mandatory for Super Specialist I, Super Specialist II, Post Graduate I, Post Graduate II, Specialized Diploma and Other PG Diploma and MBBS. MBBS and Above Profile are allowed to process under resi cum office setup One Point to be owned for other degree types. Ownership Document to be taken
Negative Area	1)Negative area norm for DM, MS, MCH, MD, Diploma and DNB will not be looked at 2)For MBBS, MDS, BAMS, BHMS, CA, CMA, and BDS, Customer's residence should not be in Negative area. 3)Community dominated area will be no go across all degree profiles.
Geographical Limits	Residence or office to be within geographical Limits
Banking Norms	• Last 6 months bank statement to be documented • No EMI bounce in last 3 months
Family exposure (Doctor)	• For family exposure, preapproved offer eligibility allowed as per individual capacity but total exposure to be within family exposure norms
Max Loan amount	<table><tr><th>Degree</th><th>max loan capping (For others)</th><th>Final Loan Eligibility methods</th></tr><tr><td>Super Specialist I</td><td>50/60</td><td>Banking or Gross Receipts</td></tr><tr><td>Super Specialist II</td><td>50/60</td><td>Banking or Gross Receipts</td></tr><tr><td>Post Graduate I</td><td>50/60</td><td>Banking or Gross Receipts</td></tr><tr><td>Post Graduate II</td><td>45/55</td><td>Banking or Gross Receipts</td></tr><tr><td>Specialized Diploma</td><td>45/55</td><td>Banking or Gross Receipts</td></tr><tr><td>Other PG Diploma</td><td>40/50</td><td>Banking or Gross Receipts</td></tr><tr><td>MBBS</td><td>30</td><td>Banking or Gross Receipts</td></tr><tr><td>Ayurveda</td><td>10</td><td>Banking and Gross Receipts</td></tr><tr><td>Homeopathy</td><td>10</td><td>Banking and Gross Receipts</td></tr><tr><td>MDS</td><td>15</td><td>Banking and Gross Receipts</td></tr><tr><td>Dentist</td><td>10</td><td>Banking and Gross Receipts</td></tr></table> Loan Eligibility will be basis Degree type, Banking, and experience. In case of gross receipts, multiplier will be applicable. Eligibility calculation will be as defined under calculator.
Ayurveda and Homeopathy profile (Cibil between 730 and 774) and in Super delinquent locations	<table><tr><th>Particulars</th><th>Policy Norms</th></tr></table>

<table>
<tr><td></td><td>
<table>
<tr><td rowspan="4">Credit checks w.r.t. banking</td><td>Minimum banking vintage of 24 months</td></tr>
<tr><td>Average monthly credit transaction count in L6M >=6</td></tr>
<tr><td>Average monthly credit amount excluding capital transactions (like loan disbursement) in last 6 months >=25000</td></tr>
<tr><td>I/W cheque bounce in Last 6M should be <=1%</td></tr>
<tr><td>Ownership</td><td>Self owned residence or clinic at work location is mandatory</td></tr>
</table>
</td></tr>
<tr><td>Login Documentation</td><td>
<ul><li>Application Form</li><li>Medical registration certificate and Degree Certificate</li><li>KYC Documents</li><li>Last Six Months bank statement</li></ul>
Financial of last two years (Mandatory for Homeopathy, Ayurveda and Dentist Profile)
</td></tr>
<tr><td>Data entry check to be done by Underwriter</td><td>
Credit needs to check following in Product offering:
<ul><li>Specialization</li><li>Degree Type</li><li>Total Experience</li><li>City Category / Branch of Booking</li><li>College of Graduation & Post Graduation</li><li>Doctor Family</li><li>Running Clinic / Hospital</li><li>Offer amount</li><li>Loan Type (New/Parallel/Top-up/Already closed)</li><li>Product Type (Term/Dropline)</li><li>Address with provided proof of Address</li><li>Dedupe of customer w.r.t. inter business login / approval / rejections</li><li>This information needs to be validated in Tele PD / via received Medical registration certificate or Degree certificate / Web checks</li></ul>
</td></tr>
<tr><td>Profile of the doctor to be searched on Web</td><td>Credit should check whether applicant name is appearing on healthcare sites & hospital websites in which he / she is associated with. The same to be mentioned on approval note</td></tr>
<tr><td>Sanction disbursed (SUD) validity</td><td>
<ul><li>Approval validity: Up to 1 month post approval</li><li>CIBIL is valid up to 30 days from the date of initiation</li></ul>
Banking verification is valid up to 30 days
</td></tr>
<tr><td>General Credit Guidelines</td><td>
<ol><li>Rejected earlier in ABFL for negative reasons (dedupe check)</li><li>Family member running a DL with ABFL (Family exposure)</li><li>Doctor not found on MCI Website (Data validation)</li><li>Negative news on clinic / hospital through Google check (Market Ref check)</li><li>Negative Telephone ref check with nearby medical stores. To be done if there are many negative reviews about clinic / hospital in Google (Market ref check)</li><li>Negative feedback from ref check with other doctors. (Market ref check)</li><li>Negative Web checks</li></ol>
</td></tr>
</table>

CA / CMA:

This program is built to offer loans to Chartered Accountant (CA) and Cost & Management Accountant (CMA)

Parameters	Norms
Location	All existing BL and Professional Loans location except "Manipur" state, classification will be CAT A, CAT B, and CAT C
Profile	Only self-employed Associate and Fellow members will be eligible under this program. Full time Certification of Practice is mandatory CA: Qualified Chartered Accountant from The Institute of Chartered Accountant of India CMA: Qualified Cost & Management Accountant from The Institute of Cost Accountants of India
Age	Minimum 25 years Maximum 72 years at loan maturity [Co-applicant mandatory for Age + Tenor >65]
Co-applicant	Co-applicant not required mandatorily
Experience	Minimum experience of 2 years into practice from the issuing date of Certificate of Practice (COP) for CA Minimum experience of 3 years into practice from the issuing date of Certificate of Practice (COP) for CMA
Loan Amount	CA: Minimum loan amount: 2L Maximum Loan amount: 35L CMA: Minimum Loan amount: 2L Maximum Loan amount: 10L
Tenor	12 - 60 months
Rented Resi cum office setup	Allowed subject to ownership in same city
Bureau Norms	• CA - Cibil Score >=700 (NTC not allowed) • CMA - Cibil Score >=730 and experience >=3 years (NTC Not allowed) • Chronic (Recurring DPD Observed on the bureau in last 2 years) DPD segment for applicant / co-applicant to be approved at RCM level • No 30 DPD allowed in last 12 months • No DPD (less than 30 DPD) in last 6 months, deviation at credit • Write off amount >5000 in last 2 years not allowed Additional CIBIL matches to be checked • Credit should check demogs as reflecting in CIBIL report with provided KYC & degree documents & if any difference is observed, additional CIBIL should be drawn • CIBIL mobile, CIBIL DOB & CIBIL PAN check to be done mandatorily in each case
Max Loan Amount for CA	For location category: • Cat A: 35L • Cat B: 30L • Cat C: 25L Categorisation of location will be basis delinquency
Customer Level Loan count capping	• For CA – i) Maximum 4 unsecured loans allowed including proposed loan

	ii) If Count of active unsecured loans is >4 (including proposed loan), and sum of current outstanding is less than 65% of sum of sanction amount of active unsecured loans (POS/Sanction ratio less than 65%), then it can be allowed. If POS/Sanction amount is more than 65%, it cannot be allowed. • For CMA - Maximum 3 live unsecured loans (PL, BL, Loan to Professional) allowed including proposed loan. • For Existing customers, all unsecured ABFL loans will be considered in above loan count calculation. Loans with sanction amount or current outstanding less than 50000 to be ignored.
EMI Bounce norms	No EMI Bounce in last 3 months- to be checked by credit from CIBIL and Banking wherever banking is available
Geo Limits	Residence or Office to be within City limits. Outside Geo limits not allowed
Email ID	Email ID - mandatory
PD Norms	Tele PD to be done by credit for all cases. Resi FI to be done for CMA profile Geo Tagging is mandatory either by sales or credit for all fresh cases
MOB Norms for Group exposure	Case of CA being partner can be processed at 0 MOB, subject to total exposure within Group exposure norms (as defined in annexure 2)
Group exposure norms breach for CA/CS/CMA	Group exposure norm breach cases to be allowed basis review of cases at RCM level and then at HO level by Risk team subject to below conditions to be met a. Partners situated in different cities should be booked in system with locations code b. The membership card must show the separate (other than partnership firm where both are partners) active proprietorship firm or partnership with another firm
Disbursement & Repayment	Disbursement & Repayment to be done in individual's primary account only
Documentation	• Application Form • Residence or Office Ownership proof • Copy of Practice or Firm Registration number
Degree Verification	• Online check to be done mandatorily at ICAI/ICMAI website for CA/CMA
Sanction disbursed (SUD) validity	• Approval validity: Up to 1 month post approval • CIBIL is valid up to 30 days from the date of initiation • Banking verification is valid up to 30 days
Product Offering checks	Credit needs to check following in product offering: • Degree type • Total experience • City Category / Branch of Booking • Offer Amount This amount needs to be validated in Tele PD / via received COP Certificate
Dedupe check	• Dedupe check to be done for Bad / Reject / Fraud matches • In case of dedupe match found, existing customer details i.e., PAN, Name, DOB, Father name, Qualification, etc. to be cross checked with provided KYC & Degree document
Written off and Settled Status – Restructured due to COVID 19	Specific guidelines / credit check to be done due to changes in CIBIL reporting to RBI mandate for COVID restructuring
On US Derog - write off/settlement/restructure in ABFL existing loan track	Same norms as Doctor Policy
Degree Check	• Registration to be verified at ICAI/ICMAI website for CA/CMA profile • Name, Father Name (if available), DOB (if available) in online check need to validate same with provided KYC & Degree document • Degree / Registration check result to be attached mandatorily in LENTRA
PAN Check through NSDL check / Income Tax website / Karza	Same norms to be followed as mentioned in Doctors Preapproved Program

Annexure 1: Geo Tagging Norms

Geo Tagging Requirements:

Photographs required in Geo Tagging

- 1 photograph of outside with Name board
- SM selfie with customer
- 1 photograph of internal setup
- Selfie is to be taken without face mask with customer and SM
- Geo tagging by SM to be taken before approval
- Geo tagging deferral at the time of approval to be with NSM and Geo tagging should be made available before disbursal for such cases
- Geo tagging is not required for existing Live PRO/DL customers if there is no change in office address

Note:

1. Geo tagging can be done either at place of consultation / practice. In LENTRA under clinic address section, customer address to be captured for place where Geo Tagging has been done
2. Where the applicant office / clinic set up is in basement or inside a premise, and Lat-Long is not getting captured at such place, then Internal setup photographs of clinic / office are still to be taken but these may or may not be with geo tagging
3. 1 Geo tagged photo of applicant's clinic / office to be taken from Outside with Name board and PSF selfie

Annexure 2: Group Exposure Norms

It refers to lending to a family / group companies / associated group of people as explained below; in such scenario, total group exposure would be restricted within the below specified capping

Degree Type	Max Cap (in Lakhs)
Super Specialist I	75
Super Specialist II	75
Post Graduate I	75
Post Graduate II & Specialized Diploma	75
Other PG Diploma	75
MBBS	50
MDS	20
BDS	20
BAMS / BHMS	20
CA (Non – Family group exposure)	50
CA (Family Exposure – Practicing in same firm)	50
CA (Family Exposure – Practicing in different firms)	50
CMA	20

Annexure 3: Deviation Grid

Parameter	Current Norm	Deviation	Deviation Level
Unsecured Enquiry in Last 2 months	Not more than 5 unsecured enquiries in last 2 months	**Deviation -** 6 to 7 unsecured enquiries in last 2 months **Applicable to**: Post Grad and Doctorate profiles.	RCM
DPD in Credit card in last 6 months	No DPD in Credit card in last 6 months	**Deviation** – (Up to 30 DPD in Credit card in last 6 months) **OR** (More than 30 DPD but overdue reported in last 6 months is less than or equal to 1000) **Applicable to**: Post Grad, Doctorate, MBBS and CA	RCM
DPD in Credit card in last 12 months	Not more than 60 DPD in Credit card in last 12 months	**Deviation** – (More than 60 DPD Up to 90 DPD in credit card in last 12 months) **OR** (More than 90 DPD but overdue reported in last 6 months is less than or equal to 1000) **Applicable to**: Post Grad, Doctorate, MBBS and CA	ACM
DPD in Term loans in last 6 months	No DPD in Term loans in last 6 months	**Deviation: (**Guarantor capacity – up to 30 DPD) **OR** (Guarantor capacity - More than 30 DPD but overdue reported in last 6 months is less than or equal to 500) **Applicable to**: Post Grad and Doctorate	ACM
		Deviation: (Individual/Joint/Co-applicant – Up to 30 DPD) **OR** (Individual/Joint/Co-applicant - More than 30 DPD but overdue reported in last 6 months is less than or equal to 500) **Applicable to**: Post Grad and Doctorate	RCM
DPD in Term loans in last 12 months	Not more than 30 DPD in Term loans in last 12 months	**Deviation**: (Guarantor capacity - More than 30 DPD up to 90 DPD) **OR** (Guarantor capacity - More than 90 DPD but overdue reported in last 6 months is less than or equal to 500) **Applicable to**: Post Grad and Doctorate	ACM
		Deviation: (Individual/Joint/Co-applicant - More than 30 DPD up to 90 DPD) **OR** (Individual/Joint/Co-applicant - More than 90 DPD but overdue reported in last 6 months is less than or equal to 500) **Applicable to**: Post Grad and Doctorate	RCM
Cibil Score	Cibil Score should be more than or equal to 700	**Deviation** - Cibil Score 685-699 **Applicable to**: Post Grad, Doctorate, MBBS and CA	RCM
Bounce in last 3 months	No Bounce in last 3 months	If paid within 7 days	CM/ACM

Post Grad and Doctorates Definition

Post Grad and Doctorates	**MD, MS, DM, MCH, DNB, Diploma, Post Grad**